Q	**City of Nevada City**

BALLOT QUESTION (50% plus 1 Vote Majority Needed to Pass)

Nevada City Residential Short-Term Rental Measure Shall the measure that replaces the existing residential short-term rental registration rules with a new permitting system and more detailed permit eligibility and operating rules be adopted?

WHAT YOUR VOTE MEANS

YES	NO
A 'yes' vote is a vote to replace Nevada City's existing residential short-term rental registration rules with a new permitting system and more detailed rules.	A 'no' vote is a vote to retain the existing short-term rental registration rules.

FOR AND AGAINST MEASURE Q

FOR

SIGNERS:

Daniela Fernández
Mayor of Nevada City

Adam Kline
Councilmember

AGAINST

SIGNERS:

John "Mac" Young
Chairman, Nevada County Republican Party

David Vertin
Nevada City Resident

Pauline Halstead
Nevada City Resident

Curtis Brown
Nevada City Resident

Michael Taylor
Nevada County Resident

IMPARTIAL ANALYSIS OF MEASURE Q

Measure Q is an ordinance that replaces Nevada City's existing residential short-term rental registration rules with a new permitting system with more detailed eligibility and operating rules.

A section of the Nevada City Municipal Code currently allows the owner of any single-family residential property in the City to register that property as a "hosted short-term rental." Once a property is registered, the owner can rent, for stays less than thirty-days long, all or a portion of any single-family home, guest house, or other room or dwelling unit used for sleeping or living quarters. Up to two such "units" can be rented at the same time on a property. There is no requirement that a "host" live on the property, but there is a requirement that the owner or their agent live in Nevada County. An owner cannot use a property solely for short-term rentals. Because these rules were proposed by initiative petition, only the voters can amend or repeal these rules.

Measure Q repeals the Municipal Code section and adopts new rules that can be amended by the City Council.

Under Measure Q, it would be illegal to advertise, maintain, or operate a short-term rental unless the owner has obtained a short-term rental permit. Permits would exist for two types of short-term rentals:

> *Whole-home rentals*-- certain rentals of the entirety of a dwelling unit (for example an entire single-family dwelling, accessory dwelling unit or duplex unit).
>
> *Hosted rentals*-- certain rentals of one or two specific bedrooms within, or a guest house appurtenant to, a dwelling unit that is the primary place of residence of a "host."

Owners of property that is registered under the existing rules would have a one-time opportunity to convert their registration to a short-term rental permit.

No new permit (as opposed to a renewal or conversion) would be issued for any property within 300 feet of another property with a permit. A new whole-home permit would not be issued if it would cause the total number of whole-home permits for main residences to exceed 2% of the City's housing stock or the total number of whole-home permits for accessory dwelling units to exceed 1% of the City's housing stock. It is anticipated that this cap will prevent the issuance of new whole-home permits for main residences unless some permits are not converted/renewed or there is substantial housing stock growth.

Permits would be issued to a specific owner with respect to a specific property. Permits would become invalid if the owner sells the property or doesn't use the permit. The host (for a hosted rental) or a contact person who lives within 15 miles (for a whole-home rental) would need to be available by telephone on a 24-hour basis. Short-term rentals would be subject to safety and operational standards. Special events, incidental camping and subletting would be prohibited. The City could suspend (or deny renewal of) a permit for a number of specified reasons.

Measure Q was placed on the ballot by the City Council of the City of Nevada City.

Dean Pucci, City Attorney

ARGUMENT IN FAVOR OF MEASURE Q

Vote YES on Measure Q to protect Nevada City's neighborhoods, help keep housing available for local residents, and support responsible tourism.

Measure Q recognizes that homes are first and foremost places for people to live. Rather than banning short-term rentals, it establishes clear rules that allow them to continue operating responsibly while helping keep more homes available for local residents.

Developed over nearly three years through public workshops and community input, Measure Q reflects the community's effort to balance tourism with the need to protect housing and neighborhood livability. It recognizes that tourism is an important part of Nevada City's economy while acknowledging the importance of keeping housing available for the people who live here.

The measure replaces an outdated uncapped registration system with a modern permitting program that creates consistent standards for every operator. It limits the number of short-term rental permits by capping whole-home rentals at 2% of the City's housing stock and ADU/JADU rentals at 1%. It also establishes clear rules that support responsible operators and help keep housing available.

Measure Q also strengthens public safety by requiring 24-hour emergency contacts, occupancy and parking limits, fire safety measures, defensible space, visible address numbers, and guest information about being good neighbors.

Measure Q also gives the City stronger tools to address unpermitted rentals. Improved enforcement creates a fairer system for responsible operators who follow the rules while holding those who ignore them accountable.

No single ordinance will solve Nevada City's housing challenges, but Measure Q is an important step toward protecting neighborhood character, keeping housing available for local residents, supporting responsible tourism, and creating clear, consistent rules for everyone.

Vote YES on Measure Q for balanced neighborhoods, responsible tourism, fair enforcement, and a stronger future for Nevada City.

REBUTTAL TO ARGUMENT IN FAVOR OF MEASURE Q

The proponents call Measure Q “balanced,” but important facts are missing.

Nevada City has 53 legally permitted non-hosted whole-home short-term rentals. Measure Q’s 2% cap would reduce that number toward roughly 43 as permits terminate. The City Attorney’s analysis confirms new whole-home permits are expected to be blocked unless existing permits end or housing stock grows substantially.

Measure Q also prohibits a new permit within 300 feet of another permitted STR. In Nevada City’s compact historic neighborhoods, overlapping exclusion areas could function as a de facto moratorium on new whole-home STRs in portions of the walkable downtown area.

We support stronger safety standards, nuisance enforcement, and proper tax collection. None requires shrinking responsible STRs.

After nearly three years developing Measure Q, no formal economic-impact study was identified. City staff acknowledged fewer STRs may reduce TOT revenue and shift visitors—and their spending—to Grass Valley. Using our stated assumptions, ten fewer

whole-home STRs for a full year could reduce direct City revenue by about $34,700: approximately $25,600 in TOT and $9,100 in City sales-tax revenue. Over ten full years, that modeled difference is about $347,000, excluding broader lost visitor spending.

Most importantly, Measure Q contains no voter-protected minimum number of whole-home STRs. A future Council majority could reduce the cap further—and potentially eliminate this category—without returning to voters.

Better enforcement makes sense. A shrinking permit base, 300-foot exclusion zones, unstudied economic consequences, and no voter-protected floor do not.

VOTE NO ON MEASURE Q — protect local businesses, visitor revenue, and City services.

ARGUMENT AGAINST MEASURE Q

Vote NO on Measure Q.

Everyone agrees Nevada City should have safe neighborhoods, responsible short-term rentals, and more housing. **The question isn't whether change is needed. The question is whether Measure Q gets it right. It doesn't.**

Measure Q replaces today's rules with a **rigid system of permanent restrictions**, strict caps, spacing requirements, permit limitations, and additional regulations that could be difficult to change if they fail to deliver the promised results. Instead of focusing enforcement on nuisance properties that create noise, parking, or safety problems, it imposes broad new restrictions on responsible homeowners who have followed the rules.

Even the City's own analysis recognizes that this proposal involves difficult tradeoffs between protecting neighborhoods, supporting local property owners, preserving tourism, and maintaining housing opportunities. It also recognizes that reducing short-term rental availability could shift overnight visitors—and their spending—to neighboring communities like Grass Valley, where additional hotel capacity is already being developed. That means fewer customers for Nevada City's restaurants, retailers, galleries, and small businesses.

Measure Q also promises housing benefits without guaranteeing results. Housing affordability is a serious challenge, but there is no assurance these restrictions will make homes more affordable or increase the supply of long-term housing. Once adopted, however, the regulations will affect homeowners, local businesses, visitors, and our local economy.

Good public policy fixes problems. It doesn't lock communities into unproven systems that may create new ones. Measure Q asks voters to make permanent law today for problems that will continue to evolve tomorrow. Nevada City deserves the flexibility to improve its short-term rental rules as conditions change—not permanent restrictions that could become outdated while preventing better solutions tomorrow.

Protect our neighborhoods. Protect our local economy. Protect responsible homeowners.

VOTE NO ON MEASURE Q.

REBUTTAL TO THE ARGUMENT AGAINST MEASURE Q

Measure Q follows nearly three years of public workshops and community input. It responds to residents' real concerns about a short-term rental system that isn't working.

Measure Q would repeal the current rules and replace them with a system designed for this moment: reasonable limits and basic standards for safety, parking, occupancy and neighborhood impacts. It is not a ban on short-term rentals.

The argument against Measure Q, submitted by the chairman of the Nevada County Republican Party, gets it wrong when it claims the measure would hurt responsible homeowners who follow the rules. Responsible hosts who respect their neighbors can continue operating- and should not have to compete with operators who ignore the rules and create neighborhood nuisances.

The opposition is also misleading about future changes. Measure Q itself would repeal and replace the current voter-enacted rules. Because those rules were approved by voters, voters must approve their replacement. Under Measure Q, future Councils could make necessary adjustments to the new ordinance without requiring another costly election.

The choice is straightforward: approve Measure Q or keep a system with no cap on unsupervised short-term rentals and minimal enforcement.

Good public policy fixes problems before they become crises. Measure Q would protect neighborhoods, support responsible operators, preserve tourism, bolster our local brick and mortar hospitality businesses, and put reasonable limits on converting homes in our neighborhoods into commercial lodging.

Vote YES on Measure Q.

ORDINANCE NO. 2026-xx

AN ORDINANCE OF THE PEOPLE OF THE CITY OF NEVADA CITY, STATE OF CALIFORNIA, ADDING CHAPTER 5.40 (SHORT-TERM RENTALS) TO THE MUNICIPAL CODE, REPEALING SECTION 17.72.080 OF THE MUNICIPAL CODE AND TAKING CERTAIN OTHER ACTIONS RELATED TO SHORT-TERM RENTALS

WHEREAS, the City of Nevada City, in the interest of protecting the public health, safety and welfare regulates the activity of engaging in businesses in the City; and

WHEREAS, when a person offers an entire home as a short-term rental, they are choosing to engage in a business that can negatively impact the community; and

WHEREAS, it is undesirable if such businesses, collectively, reduce the portion of the City's housing stock that is available for use as owner-occupied or long-term rental housing; and

WHEREAS, it is desirable that the number of whole-home short-term rentals be capped at a level that is somewhat less than the current percentage of the City's housing that is currently used for such purposes; and

WHEREAS, Section 17.72.080 (Hosted Short-Term Rentals) of the Municipal Code currently governs the registration of short-term rentals in the City; and

WHEREAS, because Section 17.72.080 of the Municipal Code was proposed by initiative petition and adopted by the electorate, any ordinance changing Section 17.72.080 must be approved by the voters; and

WHEREAS, the People of the City of Nevada City desire to revise the City's short-term rental permitting process in order to continue to allow short-term rentals of a room or rooms within a host's home and to place clear limits on whole-home short-term rentals.

NOW, THEREFORE, THE PEOPLE OF THE CITY OF NEVADA CITY DO HEREBY ORDAIN AS FOLLOWS:

SECTION 1. The above recitals are true and incorporated into this Ordinance.

SECTION 2. Chapter 5.40 (Short-Term Rentals) is added to the Municipal Code to read as set forth in Attachment "A" to this Ordinance, which is attached hereto and incorporated herein by reference.

SECTION 3. Section 17.72.080 of the Municipal Code is hereby repealed. Any registration issued by the City under Section 17.72.080 shall continue to be valid until the later of (i) its stated expiration date (if any) or (ii) January 31, 2027. Hosted Short-Term Rentals that exist under such a registration shall continue to be governed by the provisions of the current Section 17.72.080 so long as (i) the registration is valid and (ii) a Short-Term Rental Permit under the new Chapter 5.40 for the Short-Term Rental Dwelling has not been issued and reached its effective date.

SECTION 4. Chapter 5.40 of the Municipal Code, as adopted by this Ordinance, may be amended by ordinance of the City Council.

SECTION 5. **SEVERABILITY.** If any provision or clause of this ordinance or the application thereof to any person or circumstances is held to be unconstitutional or otherwise invalid by any court of competent jurisdiction, such invalidity shall not affect other provisions or clauses or applications of this ordinance which can be implemented without the invalid provision, clause or application; and to this end, the provisions of this ordinance are declared to be severable.

SECTION 6. **EFFECTIVE DATE.** This ordinance shall be deemed adopted as of the date of the certification of the results of the election at which it is adopted by the voters.

Passed, Approved and Adopted by the People of the City of Nevada City at the Municipal Election held on November 3, 2026.

Attachment "A"

CHAPTER 5.40 SHORT-TERM RENTALS

5.40.010 Purpose

The purpose of this chapter is to regulate the business activities of people who offer short-term rentals in the City. While such businesses can expand the tourism economy of Nevada City and provide the City with transient occupancy tax funds, an overabundance of such businesses can negatively affect the availability of long-term housing in the City and can change the character of the City and its neighborhoods.

Nothing in this chapter is intended to create a property right. All requirements, regulations and standards imposed by this chapter are intended to apply in addition to any other applicable requirements, regulations and standards imposed elsewhere in the Nevada City Municipal Code, state and federal law.

5.40.020 Definitions

The following words, phrases and terms as used in this chapter shall have the following meanings:

"Accessory short-term rental permit" means a whole-home short-term rental permit for a short-term rental dwelling that is an accessory dwelling unit.

"Administrator" means the City's Planning Director or their designee.

"Bedroom" means an enclosed habitable room planned and intended for sleeping, separated from other rooms by a door, and accessible without crossing another bedroom, closet space, or bathroom. Any bedroom must have a built-in closet, emergency escape and rescue opening(s), and a minimum floor area of seventy (70) square feet, exclusive of the closet.

"Dwelling unit" means a single-family dwelling, an accessory dwelling unit, a multi-family dwelling unit, a studio, a condominium unit, a duplex unit, a tiny home, or another dwelling unit for which a certificate of occupancy has been issued.

"Guest" or "Guests" means the individual or individual(s) occupying a short-term rental dwelling as part of a short-term rental transaction.

"Host" means a person who occupies a specified dwelling unit as their primary place of residence and serves as the local contact person for (i) a hosted rooms rental of rooms in that dwelling unit or (ii) a hosted guest house rental of a guest house appurtenant to that dwelling unit.

"Hosted rooms rental" means a short-term rental where all of the following are true: (i) the short-term rental dwelling consists of one or two bedrooms within a dwelling unit, (ii) there is at least one bedroom in that dwelling unit that is not a part of the short-term rental dwelling and (iii) the host of that dwelling unit occupies the dwelling unit as their primary place of residence.

"Hosted guest house rental" means a short-term rental where both of the following are true: (i) the short-term rental dwelling is a guest house as defined in this code and (ii) that guest house is appurtenant to a single-family residence that the host of the guest house occupies as their primary place of residence.

"Hosted short-term rental" means a short-term rental that is either a hosted rooms rental or a hosted guest house rental.

"**Housing stock of the city"** means, at any point in time, the number of total residences in the city as shown in the then most-recent Housing Element Annual Progress Report for the city.

"Hosted short-term rental permit" means a permit issued pursuant to this chapter for the business of using a specific short-term rental dwelling as a hosted short-term rental.

"Local contact person" means an individual designated by the property owner in their application for a short-term rental permit as the person who has access and authority to assume management of the short-term rental and who agreed to be the local contact for all short-term rental activity. The local contact person shall be available by telephone on a twenty-four (24) hour basis and shall reside within 15 driving miles of the short-term rental dwelling. However, for a short-term rental operating under a hosted short-term rental permit, the local contact person must be a host of the short-term rental dwelling.

"Main residence whole-home short-term rental permit" means a whole-home short-term rental permit for a short-term rental dwelling that is not an accessory dwelling unit.

"Operator"' means the following: (i) the person who has been issued the short-term rental permit for a short-term rental dwelling; and (ii) any manager, agent, representative or other similar person acting under the authority or at the direction of an operator. While all operators of a short-term rental dwelling are subject to the requirements of this chapter, the person who has been issued the short-term rental permit for a short-term rental dwelling shall also be responsible for any violation of the provisions of this chapter with respect to that short-term rental dwelling, even if such violation has been made by another operator.

"Permit Year" means the period running from February 1 of a calendar year to January 31 of the following calendar year.

"Primary Place of Residence" means the dwelling where a person lives for a majority of a year. There is a rebuttable presumption that a dwelling is not a person's primary place of residence if any of the following are true: (i) the person is registered to vote at some other address; (ii) the person is an owner of the dwelling but has not claimed the property tax homeowners exemption for the property containing the dwelling; or (iii) the person has claimed the property tax homeowners exemption for some other property in California. The City may request evidence to support any claim by an applicant of that applicant's primary place of residence.

"**Short-term rental**" means the renting of a short-term rental dwelling to one person or group in a single transaction for the purpose of continuous overnight lodging for a period of not less than one night and not more than thirty (30) consecutive days.

"Short-term rental dwelling" means (i) a single-family dwelling, a multi-family dwelling unit, an accessory dwelling unit, a studio, a condominium, a duplex, or a tiny home, (ii) one specific bedroom within an existing residential dwelling unit that has at least two bedrooms in total, (iii) two specific bedrooms within an existing dwelling unit that has at least three bedrooms in total, or (iv) a guesthouse that is appurtenant to an existing single-family dwelling.

"Short-term rental permit" means a hosted short-term rental permit or a whole-home short-term rental permit.

"Whole-home short-term rental" means a short-term rental where all of the following are true: (i) the short-term rental dwelling provides complete, independent living facilities for one or more persons, (ii) the short-term rental dwelling is equipped with permanent living, sleeping, eating, cooking, and sanitation facilities, (iii) the short-term rental dwelling includes a kitchen (meaning it includes cooking appliances, a food preparation counter, and food storage cabinets), and (iv) the short-term rental dwelling is the entirety of either a single-family dwelling, a multi-family dwelling unit, an accessory dwelling unit, a studio, a condominium unit, or a duplex unit.

"Whole-home short-term rental permit" means a permit issued pursuant to this chapter for the business of using a specific short-term rental dwelling as a whole-home short-term rental.

5.40.030 Permit Required

A. **Whole-Home Short-Term Rental.** It is unlawful for any person to advertise, maintain, or operate a short-term rental dwelling within the City of Nevada City as a short-term rental, other than a hosted short-term rental, unless (i) the short-term rental dwelling is a whole-home short-term rental dwelling, (ii) a valid whole-home short-term rental permit has been issued for the rental of that short-term rental dwelling, (iii) the short-term rental dwelling and the offered or finalized short-term rental transaction comply with the requirements of this chapter, (iv) the short-term rental dwelling was constructed pursuant to a valid building permit and is otherwise in compliance with all applicable laws, (v) the person possesses a current business license issued under Chapter 5.04 of this code and (vi) all transient occupancy tax payments to the City that are required by Chapter 3.24 of this code have been made.

B. **Hosted Short-Term Rental.** It is unlawful for any person to advertise, maintain, or operate or use a short-term rental dwelling within the City of Nevada City as a hosted short-term rental, unless (i) either (a) a valid hosted short-term rental

permit has been issued for the rental of that short-term rental dwelling or (b) a valid whole-home short-term rental permit has been issued for the rental of the dwelling unit that contains or is appurtenant to the short-term rental dwelling and such main dwelling unit is not simultaneously offered or rented as a whole-home short-term rental for the same dates (ii) the short-term rental dwelling and the offered or finalized short-term rental transaction comply with the requirements of this chapter and all terms and conditions of the applicable short-term rental permit, (iii) the short-term rental dwelling was constructed pursuant to a valid building permit and is otherwise in compliance with all applicable laws, (iv) the person possesses a current business license issued under Chapter 5.04 of this code, (v) all transient occupancy tax payments to the City that are required by Chapter 3.24 of this code have been made, and (vi) there is a person designated as host of the short-term rental who meets the requirements for a host under this chapter.

C. Each short-term rental dwelling requires a separate permit, and the operator of a short-term rental shall not lease one portion of a short-term rental dwelling to one person (or group) as a short-term rental and another portion of the short-term rental dwelling to another person (or group) as a short-term rental. However, where a short-term rental dwelling consists of two specific bedrooms within an existing dwelling unit that has at least three bedrooms in total, each of the two bedrooms may be separately leased as part of a hosted rooms rental.

D. The issuance of any permit pursuant to this chapter does not relieve the owner of the short-term rental dwelling from the obligation to comply with any other provision of this Code, including those pertaining to the use and occupancy of the short-term rental, or the property in which it is located.

E. Short-term rentals are allowed in all zone districts that allow residential use as a principal permitted use, subject to the provisions of this chapter establishing eligibility for short-term rental permits.

F. It is unlawful for any person to (i) rent a dwelling unit (or portion thereof) that is not a short-term rental dwelling for the purpose of continuous overnight lodging for a period of not more than thirty (30) consecutive days or (ii) advertise, maintain, or operate such a dwelling unit (or portion thereof) for the purpose of such rental. This prohibition does not apply to a bed and breakfast facility that possesses a certificate of occupancy issued by the City under Ordinance No 87-02 (or any part of such facility) if the facility is operated in compliance with the permits issued to it under Ordinance No. 87-02. Rentals of rooms in such facilities are not subject to the requirements of this chapter.

5.40.040 Conversion of Registrations

A. Where a short-term rental dwelling was registered under former Section 17.72.080 of this Municipal Code and consists of the entirety of a dwelling unit, that registration can be converted to a whole-home short-term rental permit.

B. Where a short-term rental dwelling was registered under former Section 17.72.080 of this Municipal Code and consists of either (i) a guest house appurtenant to a single-family residence or (ii) less than the entirety of a dwelling unit, that registration can be converted to a hosted short-term rental permit.

C. Any conversion request authorized by this section shall be applied for and processed pursuant to this chapter as if the conversion request was a request to renew an existing short-term rental permit pursuant to Section 5.40.060. The deadline for submitting the renewal application shall be January 31, 2027. If an application is not submitted by that date, the owner of the registered short-term rental shall have no right to renew or continue their registration beyond its expiration and shall have no special right to apply for or receive a new short-term rental permit.

5.40.050 Short-Term Rental Permit Administration and Regulations

A. The validity period of a short-term rental permit issued under this chapter shall begin on the later of (i) February 1 of the permit year for which it is issued or (ii) the date on which the permit is issued. The validity period shall end on the last day of the permit year.

B. The City Council may set filing fees for applications for renewals of existing short-term rental permits and issuance of new short-term rental permits. The City will not accept an application for filing unless the filing fee has been paid.

C. Any application for a new or renewed short-term rental permit must be made on the form issued by the administrator for that purpose and must include any information required by any written instructions for that form.

D. Any application for a new or renewed short-term rental permit must include a statement, executed under penalty of perjury by the owner of the short-term rental dwelling, that the information given on the application is true and correct.

E. Each short-term rental permit is issued with respect to a specific short term rental dwelling and is issued to a specific owner of that dwelling. No change is permitted to (i) the owner to whom a short-term rental permit has been issued or (ii) the short-term rental dwelling for which the permit is issued. The holder of a short-term rental permit shall have no special right to apply for or receive a new short-term rental permit (as opposed to a renewal of an existing permit), and the new owner of a property that has included a short-term rental dwelling shall have no special right to apply for or receive a new short-term rental permit.

F. Applications for new hosted short-term rental permits will be accepted year-round. There is no cap on the number of hosted short-term rental permits.

G. Applications for new whole-home short-term rental permits will be accepted only during application periods designated by the administrator, which shall not occur less frequently than once every five years. For each application period for new whole-home short-term rental permits, the administrator will designate and post on the City's website at least 30 days in advance of the application period: (i) the start and end dates for the period during which applications will be accepted, which shall be not less than 30 calendar days, (ii) the method for deciding the order in which applications will be considered, and (iii) the number of new permits that may be issued (as calculated pursuant to subsections (H) and (I) of this section).

H. A main residence whole-home short-term rental permit (as opposed to a renewal of or a conversion to such a permit) shall not be issued if, after such issue, the number of then-valid main residence whole-home short-term rental permits in the city (including renewals and conversions) would exceed 2% of the housing stock of the city, rounded down to the nearest whole

number.

I. An accessory short-term rental permit (as opposed to a renewal of or a conversion to such a permit) shall not be issued if, after such issue, the number of then-valid accessory short-term rental permits in the city (including renewals and conversions) would exceed 1% of the housing stock of the city, rounded down to the nearest whole number.

J. A new short-term rental permit (as opposed to a renewal of or a conversion to a short-term rental permit), shall not be issued for short-term rental dwelling that is a junior accessory dwelling unit.

K. A new short-term rental permit (as opposed to a renewal of or a conversion to a short-term rental permit), shall not be issued for any short-term rental dwelling that would be within 300 feet of an existing permitted short-term rental dwelling.

L. In connection with each short-term rental permit, a local contact person must be designated. In connection with each hosted short-term rental permit a host must also be designated. The holder of a short-term rental permit may change the local contact person and/or the host for the short-term rental dwelling by submitting a request to do so in the manner established by the administrator for submitting such requests. For a whole-home short-term rental, the administrator may reject such a request if the proposed new local contact person has been found within the prior two years to have been in violation of this chapter with respect to any property in the city. For a whole-home short-term rental, an agent or professional property management company that meets the availability requirements can serve as the local contact person.

5.40.060 Renewal of Permits

A. A valid short-term rental permit issued pursuant to this Chapter may be renewed for the following permit year by filing a renewal application and paying the renewal fee established by the City Council no later than January 31 of the year in which the following permit year begins.

B. If a short-term rental permit is revoked by the City or if the holder of a short-term rental permit fails to submit a renewal application and pay the renewal fee by the deadline set forth in Subsection (A) of this Section, the short-term rental permit will not be renewed. Where a short-term rental permit has expired pursuant to this Subsection (B), the holder of that permit shall have no special right to apply for or receive a new short-term rental permit.

C. Except for renewals issued in permit year 2027, no renewal will be granted where, during the four most recent quarters, no taxable occupancies were reported at the short-term rental dwelling for transient occupancy tax purposes. In such event, the former holder of the permit shall have no special right to apply for or receive a new short-term rental permit

5.40.070 Operational Standards

A. **Operational Standards:** All short-term rentals (i) shall comply with the following standards at all times, regardless of whether a property registered as a short-term rental is being used as such on a given day and (ii) shall not generate other potential disturbances which may disrupt the peace, safety, and general welfare of the neighborhoods in which they are located.

1. **Operator responsibilities and recordkeeping.** The operator shall inform guests that they must not violate the standards of this chapter. The operator shall be responsible for taking any action necessary to ensure that guests abide by the terms of this chapter and other applicable provisions of this code. The operator shall collect and maintain for each guest registration the name and contact information of the registered guest, the number of guests, and the amount of rent paid (including all ancillary charges such as cleaning charges). All such records shall be maintained for a period of three years and shall be furnished to the City within five days upon request. Failure to maintain or produce records, or providing false records, shall be a violation of this Chapter.

2. **Local contact person.** A local contact person shall be personally available by telephone on a 24-hour basis, shall physically reside within 15 driving miles of the short-term rental dwelling, and shall have access and authority to assume management of the short-term rental in order to respond to and remedy calls or complaints. When a local contact person, or any operator, becomes aware of or receives a complaint regarding physical conditions or circumstances that constitute an immediate threat to the public health and safety they shall immediately contact the appropriate law enforcement, fire, or other authority. The person named on the short-term rental permit shall ensure that any person who is designated by them as a local contact person is familiar with the requirements of this chapter and agrees to the responsibilities set forth in this section. For a hosted short-term rental dwelling, the local contact person must be the host of the short-term rental dwelling.

3. **Noise.** All short-term rental guests shall comply with the standards of Chapter 8.20 of this code regarding noise, which provides that the standard for what constitutes prohibited unreasonable noise is stricter between the hours of 9:00 pm and 7:00 am. The nighttime noise restrictions shall be posted inside the short-term rental in a location readily visible to all guests.

4. **Trash collection.** With the exception of trash properly deposited in trash collection receptacles, accumulation of trash and debris outside of a short-term rental at any time is prohibited. Weekly trash collection must be provided for each short-term rental. A minimum service level of one trash can shall be maintained for each short-term rental, in addition to recycling service. If one trash can is insufficient to accommodate all trash generated by occupants of the short-term rental, the operator shall arrange for whatever increased level of service is required to accommodate all trash.

5. **Interior posting requirements.** A copy of the then-current Good Neighbor Flyer provided by the administrator shall be posted within the interior of the rental unit in a visible location by the front door and on the interior of each bedroom door, as well as in all online or printed advertisements and listings. The Good Neighbor Flyer shall contain the contact information for the local contact person and emergency information, and operational standards pertaining to noise, parking, fire and life safety, occupancy limits, recycling and trash, woodburning appliances, and pets, and such other information as may be required by the administrator.

6. **Smoke alarms.** Smoke alarms, in good working order, shall be installed at a minimum in each bedroom, each room where a bed is located, and at least one alarm on every level of the short-term rental, including basements and habitable attics.

7. **Carbon monoxide alarms.** Carbon monoxide alarms, in good working order, shall be installed in accordance with current California Building Code requirements, and shall be installed in accordance with the manufacturer's installation instructions.

8. **Fire extinguisher and ash can.** Each short-term rental shall be equipped with one portable fire extinguisher not exceeding 40 pounds, type 3-A:40-B:C, installed at a readily available location near the kitchen with the top of the extinguisher no more than five (5) feet above the floor and the bottom of the extinguisher shall be no less than four (4) inches from the floor. If the short-term rental has more than one level, an extinguisher must be mounted within each level. Fire extinguishers shall be inspected annually by a certified professional to ensure the extinguishers are in good working order. Each short-term rental with a wood-burning fireplace or woodstove shall be equipped with a metal container at least five gallons in size with a tight-fitting lid, which shall be clearly labeled for ash disposal.

9. **Visible address.** Each short-term rental shall have a visible and legible address identification in conformance with the California Fire Code, Section 505.1 as amended and adopted by the City.

10. **Fire inspections and other inspections.** The operator of each short-term rental shall allow Nevada City Office of Emergency Services (OES) staff to conduct an inspection upon initial registration and once every two years, and more often upon request by Nevada City OES or the City of Nevada City, to ensure the short-term rental complies with the requirements of this code and Nevada City defensible space requirements as identified in Chapter 8.10 of this code. The inspections, including re-inspections due to non-compliance and inspections prompted by complaints, are subject to the applicable City of Nevada City fees for inspections.

11. **Advertisements.** Each advertisement for a short-term rental shall list the maximum number of occupants permitted by the short-term rental permit or a lesser number if desired by the operator, the maximum number of parking spaces onsite or allowed offsite, and the City-assigned permit number.

12. **Signs.** No exterior signs advertising the short-term rental shall be allowed on the property.

13. **Maximum Occupancy.** Under no circumstances shall the occupancy of a short-term rental exceed the maximum occupancy allowed under the California Building Code.

B. **Additional Operational Standards for Permits Issued Beginning February 1, 2027:** All short-term rentals, other than a short-term rental that (i) was previously registered under former Section 17.72.080 of this code, (ii) has been continuously permitted under this chapter since the permitting year that begins on February 1, 2027, and (iii) is in compliance with all requirements applied under former Section 17.72.080 of this code shall also comply with the following standard at all times, regardless of whether the short-term rental dwelling is being used as a short-term rental on a given day and shall not generate other potential disturbances which may disrupt the peace, safety, and general welfare of the neighborhoods in which they are located.

1. **Parking.**

a. The holder of the short-term rental permit must provide a site plan with their short-term rental permit application showing required parking spaces pursuant to this section.

b. At least one parking space shall be provided for each whole-home short-term rental dwelling. At least one parking space must be provided for the owner of each hosted short-term rental dwelling, and an additional space must be provided for each bedroom rented to guests at that hosted short-term dwelling. All parking shall be provided on-site in accordance with applicable design standards and may be provided in a garage, driveway, or carport. On-site tandem parking is allowed to satisfy the requirement. If the property does not have sufficient on-site parking the property owner must have a city-approved parking plan designating the location of off-site parking, which may occur on public streets.

c. Only one guest vehicle shall be allowed per short-term rental unit (except where two bedrooms are separately rented within a hosted short-term rental, in which event one guest vehicle shall be allowed per guest bedroom).

5.40.080 Prohibitions

A. Incidental camping. A short-term rental permit does not authorize incidental camping, which means any overnight camping, sleeping in tents or on decks attached to the short-term rental unit or hosted short-term rental property, or sleeping in travel trailers or recreational vehicles parked on the short-term rental or hosted short-term rental property.

B. Outdoor fireplaces. No wood burning pits, bonfires, or campfires are permitted to occur at short-term rentals. Natural gas/propane burning fireplaces and fire pits with twenty (20)-pound tanks or smaller are acceptable outside provided the device is at least ten (10) feet from a structure and any flammable materials. Notwithstanding the foregoing: (i) reduced clearance for natural gas/propane burning fireplaces and fire pits will be allowed in accordance with the manufacturer's recommendations for products listed with UL, CSA or ANSI; and (ii) reduced clearance is allowed for a built-in outdoor fireplace if construction of the built-in outdoor fireplace was authorized by a building permit.

C. Grills and barbeques. Grills and barbeques are not permitted beneath a potentially flammable source including trees, umbrellas, decks, or other appurtenant structures. All grills and barbecues shall be no less than ten (10) feet away from a structure and any flammable materials, such as a woodpile. Notwithstanding the foregoing: (i) reduced clearance for gas grills, and barbeques will be allowed in accordance with the

manufacturer's recommendations for products listed with UL, CSA or ANSI; and (ii) reduced clearance is allowed for a built-in outdoor grill or barbecue if construction of the built-in outdoor grill or barbeque was authorized by the issuance of a building permit. Charcoal grills of any type are prohibited at short-term rentals.

D. Subletting. Guests are prohibited from subletting a short-term rental. Only operators with a valid short-term rental permit may advertise and rent a dwelling (or portion thereof) unit as a short-term rental.

E. Special events. Weddings, corporate events, commercial functions, and other similar events are prohibited from occurring at a short-term rental dwelling. The occurrence of any such event which violates any such requirements shall be a separate violation of this chapter, in addition to the violation created by noncompliance with such requirements.

5.40.090 Penalties; permit denial, suspension, and revocation

A. **Suspension or denial of renewal of short-term rental permit.** The City may deny renewal of a short-term rental permit or suspend an existing short-term rental permit for any of the following reasons:

1. The short-term rental permit renewal application is incomplete, the applicant is not eligible to receive a renewal pursuant to this chapter, or the unit for which the permit is sought is not eligible to receive a renewal pursuant to this chapter.

2. The short-term rental permit renewal application contains a false or misleading statement or omission of a material fact.

3. Any operator of the short-term rental is currently in violation of any local, state or federal laws, statutes, ordinances, rules or regulations pertaining to the operation of a short-term rental.

4. More than three citations have been issued with respect to the short-term rental and not overturned on appeal, including without limitation citations issued to guests and citations issued to operators. Any suspension or non-renewal for this reason cannot be cured pursuant to paragraph B of this section, other than by the citation being overturned on appeal.

5. The operator is delinquent on any payment to the City of any fees, penalties, taxes, or any other monies related to any short-term rental or hosted short-term rental including, but not limited to, transient occupancy taxes.

6. The operation of the short-term rental is a threat to the public health, safety, or welfare.

7. Any required application fee or renewal fee has not been paid.

B. **Effect of Suspension.** While a suspension of a short-term rental permit is in effect, any rental of the short-term rental unit is prohibited. If the cause of the suspension is not cured within 90 days of the date of suspension, the permit shall be permanently revoked. Where a permit has been revoked, an application for a new short-term rental permit for the short-term rental dwelling listed on the permit will not be accepted by the City during the twelve (12) months following the date of revocation. The holder of a short-term rental permit that has been revoked pursuant to this section has no special right to apply for or receive a new permit.

C. **Effect of Denial of Renewal.** Where a renewal has been denied, the renewal may be issued if, within three months of the denial, the reason for denial has been cured. If the denial is not cured in this period; no renewal will be issued and no application for a new short-term rental permit for the short-term rental unit will be accepted by the City during the twelve months following the date of denial. The holder of a short-term rental permit whose renewal has been denied pursuant to this section has no special right to apply for or receive a new permit.

D. **Denial of New Permit.** The City may reject any application for a new short-term rental permit for any of the reasons set forth in paragraph A.

E. **Appeal.** Any operator or guest may appeal a penalty imposed for a violation of this chapter, or a denial, suspension, or revocation of a short-term rental permit, to the City following the process identified in Chapter 1.22 of this code.

F. **Additional remedies.** Suspension, denial of renewal, or revocation of a short-term rental permit are additional to any other penalties or recourse allowed to the city by this code or other applicable law for a violation of this chapter. The City may pursue multiple remedies and means of enforcement.

5.40.100 Changes in ownership

Each short-term rental permit is issued to a specific person for the operation of a short-term rental at a specific location and is not transferable. Short-term rental permits do not provide a vested interest in or entitlement to the continued operation of the short-term rental business upon a change in ownership of the short-term rental dwelling, and any outstanding short-term rental permit shall expire upon the change of ownership. The holder of a short-term rental permit shall notify the City of any sale or transfer of a short-term rental dwelling that is operated under a short-term rental permit. Short-term rental permits do not run with the land and expire upon any partial or complete transfer of ownership of a property, whether or not notice of the change in ownership has been provided to the City. Where a short-term rental permit expires pursuant to this section, the new owner has no special right to apply for or receive a new short-term rental permit.

5.40.110 Administration

The administrator may issue such regulations, not inconsistent with the requirements of this chapter, as are necessary or useful to the administration of this chapter.